CA INTERMEDIATE UDESH REGULAR SEP 2026 (Group 1)

Marks : 50 | 03/05/2026 | Time : 90 Min

Master Test – 2

Question No. 1 is compulsory.
Answer any four questions from the remaining five questions.
Wherever necessary, suitable assumptions may be made and disclosed by way of a note.
Working Notes should form part of the answer

Question 1 (i to iv) **(2 Mark × 4 = 8 Marks)**

1(a). Directions (1-5) Read the following passage and answer the given questions.

Fly Ltd. made a sale of INR 7,00,000 to Wings International in May 2023 and recognised Trade Receivables which was initially recorded at the prevailing exchange rate on the date of sales, transaction recorded at US\$ 1= Rs 79.4. The Company also took a loan from U.S Company for Rs 10,00000 in December 2023 which was initially recorded at the prevailing exchange rate on the date of transaction, transaction recorded at US\$ 1= Rs 81.1.

On 31st March 2024, exchange rate was US\$ 1 = Rs 83.3

(i). What will be the closing balance of Trade Receivables on 31st March 2024:

(A) Rs 700,000

(B) Rs 7,14,978 approx

(C) Rs 7,34,383 approx

(D) Rs 7,50,000 approx

(ii). How much is the reporting difference (gain or loss) in case of Trade Receivable:

(A) Gain of Rs 34,383 approx

(B) Loss of Rs 34,383 approx

(C) Gain of Rs 19,395 approx

(D) Loss of Rs 19,395 approx

(iii). What will be the closing balance of Loan as on 31st March 2024:

(A) Rs 10,00,000

(B) Rs 10,27,127 approx

(C) Rs 9,79,002 approx

(D) Rs 10,79,002 approx

(iv). How much is the reporting difference (gain or loss) in case of Loan:

(A) Gain of Rs 48,087 approx

(B) Loss of Rs 48,087 approx

(C) Gain of Rs 27,127 approx

(D) Loss of Rs 27,127 approx

1(b). AB Contractors undertakes a fixed price contract of ₹ 350 Lakhs. Information related to contract is given as under:

Material purchased ₹ 125 Lakhs

Labour charges ₹ 95 Lakhs

Unused material ₹ 22 Lakhs

Estimated future costs to be incurred to complete the contract ₹ 115 Lakhs Payment received as part payment of contract ₹ 50 Lakhs Machinery used for 4 years for the contract.

Original cost of the machine is ₹ 210 Lakhs.

Expected life of machinery is 20 years.

What will be the Profit / Loss on the contract?

(A) Loss on contract ₹ 49 Lakhs

(B) Loss on contract ₹ 5 lakhs

(C) Profit on contract ₹ 45 Lakhs

(D) Profit on contract ₹ 26.5 Lakhs

(2 Marks)

2. Summarized Balance Sheets of Black Ltd. & White Ltd. as on 31st March, 2020 is as follows:

Particulars	**Notes**	**Black Limited (₹ in 000)**	**White Limited (₹ in 000)**
Equity and Liabilities			
Shareholders' Funds			
(a) Share Capital	1	6,000	3,600
(b) Reserves and Surplus	2	1,080	660
Current Liabilities			
Trade Payables		600	360
Total		7,680	4,620
Assets			
Non-Current assets			
Property, Plant and Equipment		3,600	2,400
Current assets			
(a) Inventories		960	720
(b) Trade Receivables		1,680	1,080
(c) Cash and Cash Equivalents		1,440	420
Total		7,680	4,620

Note No.	**Particulars**	**Black Limited (₹ in 000)**	**White Limited (₹ 000)**
1.	Share Capital Equity Shares of ₹ 100 each	6,000	3,600
	Reserve and Surplus		
2.	General Reserve	360	180
	Profit and Loss Account	720	480
	Total	**1,080**	**660**

Black Limited takes over White Limited on 1st July, 2020.

No Balance Sheet of White Limited is available as on that date. It is, however estimated that White Limited earned profit of ₹ 2,40,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment, during April- June, 2020.

Estimated profit of Black Limited during these 3 months was ₹ 4,80,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment Both the companies have declared and paid 10% dividend within this 3 months' period.

Goodwill of White Limited is valued at ₹ 2,40,000 and Property Plant and Equipment are valued at ₹ 1,20,000 above the depreciated book value on the date of takeover.

Purchase consideration is to be satisfied by Black Limited by issuing shares at par. Ignore income tax.

You are required to:

a) Compute No. of shares to be issued by Black Limited to White Limited against purchase consideration.

b) Calculate balance of Net Current Assets of Black Ltd. & White Ltd. as on 1st July, 2020

c) Give balance of Profit or Loss of Black Limited as on 1st July, 2020

d) Give balance of Property Plant and Equipment as on 1st July, 2020 after takeover.

(10 Marks)

3. The summarized Balance Sheet of SK Ltd. as on 31st March, 2023 is given below.

	Amount ('000)
Liabilities	
Equity Shares of ₹ 10 each	35,000
8%, Cumulative Preference Shares of ₹ 100 each	17,500
6% Debentures of ₹ 100 each	14,000
Sundry Creditors	17,500
Provision for taxation	350
Total	84,350

B. Assets	
Assets	
Property, Plant & Equipment	43,750
Investments (Market Value ₹ 3325 thousand)	3,500
Current Assets (Including Bank Balance)	35,000
Profit and Loss Account	2,100
Total	84,350

Following Scheme of Internal Reconstruction is approved & put into effect on 31st March, 2023

(i) Investments are to be brought to their market value.

(ii) The Taxation Liability is settled at ₹ 5,25,000 out of current Assets.

(iii) The balance of Profit and Loss Account to be written off.

(iv) All the existing equity shares are reduced to ₹ 4 each.

(v) All preference shares are reduced to ₹ 60 each.

(vi) The rate of interest on debentures is increased to 9%. The Debenture holders surrender their existing debentures of ₹ 100 each and exchange them for fresh debentures of ₹ 80 each. Each old debenture is exchanged for one new debenture.

(vii) Balance of Current Assets left after settlement of taxation liability are revalued at ₹ 1,57,50,000.

(viii) Property, Plant & Equipment are written down to 80%.

(ix) One of the creditors of the Company for ₹ 70,00,000 gives up 50% of his claim. He is allotted 8,75,000 equity shares of ₹ 4 each in full and final settlement of his claim.

Pass journal entries for the above transactions.

(10 Marks)

4. VIJ Ltd. has the following capital structure as on 31st March, 2022:

Particulars		(₹ in Lakhs)
Equity share capital (Shares of ₹ 10 each, fully paid)		990
Reserve and Surplus :		
General Reserve	720	
Securities Premium Account	270	
Profit & Loss Account	270	
Infrastructure development Reserve	540	1,800
Loan Funds		5,400

On the recommendation of the Board of Directors, the shareholders of the company have approved on 2nd September 2022 a proposal to buyback the maximum permissible number of equity shares, considering the sufficient funds available at the disposal of the company. The current market value of the company's shares is ₹ 25 per share and in order to induce the existing shareholders to offer their shares for buy-back, it was decided to offer a price of 20% over market value. You are also informed that the Infrastructure Development Reserve is created to satisfy income tax requirements.

You are required to compute the maximum permissible number of equity shares that can be bought back in the light of the above information and also under a situation where the loan funds of the company were either ₹ 3600 lakh or ₹ 4500 lakh.

The entire buy-back is completed by 09/12/2022, show the accounting entries with full narrations in the company's books in each situation.

(10 Marks)

5(a). Indicate in each case whether revenue can be recognized and when it will be recognized as per AS-9.

(1) Trade discount and volume rebate received.

(2) Where goods are sold to distributors or others for resale.

(3) Where seller concurrently agrees to repurchase the same goods at a later date.

(4) Insurance agency commission for rendering services.

(5) On 11-03-2019 cloths worth ₹ 50,000 were sold to X mart, but due to refurbishing of their showroom being underway, on their request, clothes were delivered on 12-04-2019

(5 Marks)

5(b). The Accountant of Mobile Limited has sought your opinion with relevant reasons, whether the following transactions will be treated as change in Accounting Policy or not for the year ended 31st March, 2020. Please advise him in the following situations in accordance with the provisions of relevant Accounting Standard;

(a) Provision for doubtful debts was created @ 2% till 31st March, 2019. From the Financial year 2019-2020, the rate of provision has been changed to 3%.

(b) During the year ended 31st March, 2020, the management has introduced a formal gratuity scheme in place of ad-hoc ex-gratia payments to employees on retirement.

(c) Till the previous year the furniture was depreciated on straight line basis over a period of 5 years. From current year, the useful life of furniture has been changed to 3 years.

(d) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organization. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organization.

(e) During the year ended 31st March, 2020, there was change in cost formula in measuring the cost of inventories

(5 Mark)

6(a). The accountant of Parag Limited has furnished you with the following data related to its Business Divisions:

Division	**A**	**B**	**C**	**D**	**Total**
Segment Revenue	100	300	200	400	1,000
Segment Result	45	– 70	80	–10	45
Segment Assets	39	51	48	12	150

You are requested to identify the reportable segments in accordance with the criteria laid down in AS 17.

(5 Marks)

6(b). What are the disclosure and presentation requirements of AS 24 for discontinuing operations?

(5 Marks)